

AKH

Date: 8/21/19

REAL ESTATE PURCHASE AGREEMENT

THIS REAL ESTATE PURCHASE AGREEMENT (the "Agreement") is made and entered into this _____ day of _____, 2019, by and between the City of Cheyenne, a municipality organized under the laws of the State of Wyoming, 2101 O'Neil Avenue, Cheyenne, Wyoming 82001 (the "Seller"), and John J. Koehler, 2011 8th Avenue NE, Aberdeen, South Dakota 57401 (the "Buyer").

WITNESSETH:

WHEREAS, the Seller agrees to sell, and the Buyer agrees to buy, the real property legally described as:

A 1.46 acre portion of Lot 1, Block 1, Cheyenne Ice & Events Center, 1st Filing, City of Cheyenne, Laramie County, Wyoming, more particularly described as follows:

Beginning at a point on the West right-of-way line of Stinson Avenue, said point being the Southeast corner of said Lot 1; thence N. 26°29'03" W., along the East line of said Lot 1, a distance of 216.08 feet; thence S. 63°23'22" W., a distance of 110.00 feet; thence S. 07°07'25" W., a distance of 8.00 feet; thence S. 60°26'05" W., a distance of 177.28 feet; thence S. 44°35'53" W., a distance of 30.00 feet to the West line of said Lot 1; thence along said West line, along a non-tangential curve concave to the Southwest, a distance of 110.81 feet (through an angle of 19°14'21", having a radius of 330.00 feet, and whose long chord bears S. 35°46'57" E., a distance of 110.29 feet); thence continuing along said West line, S. 26°09'17" E., a distance of 82.02 feet to the Southwest corner of said Lot 1; thence N. 63°34'49" E., along the South line of said Lot 1, a distance of 39.91 feet; thence continuing along said South line N. 26°25'11" W., a distance of 0.85 feet; thence continuing along said South line N. 63°29'11" E., a distance of 262.57 feet to the point of beginning.

Said lands containing 63,728 square feet (1.46 acres) more or less, and subject to all easements, covenants and restrictions of record.

together with the Seller's rights, privileges, interests and appurtenances related to said real property, all of which is hereinafter referred to as the "Real Property"; and

WHEREAS, the Seller is the owner of the above-described Real Property which is generally located South of the City of Cheyenne Ice and Events Center consisting of approximately 60,984 square feet, more or less; and

WHEREAS, the Seller is willing to sell to the Buyer and the Buyer is willing to purchase from the Seller the Real Property upon the terms and conditions hereinafter stated.

NOW, THEREFORE, for good and valuable consideration, the receipt of which is hereby acknowledged, the parties hereto agree as follows:

1. *Purchase and Sale.* The Seller agrees to sell to the Buyer and the Buyer agrees to purchase from the Seller:

1.1. The Real Property described above;

1.2. All licenses, permits and franchises issued by any governmental authority to or in favor of the Seller and pertaining to the ownership, development or use of the Real Property, if any;

1.3. All contract rights and general intangible rights pertaining to the ownership, development or use of the Real Property, if any;

1.4. All improvements, structures and fixtures situated on the Real Property which will be conveyed in an "as is" condition without any representations or warranties relating to their physical condition and without ascribing any value to them;

1.5. All fixtures, equipment and other personal property of every kind and nature now installed, located, situated or used in, on, or about, or in connection with the operation, use, or enjoyment of the Real Property; and

1.6. Prior to the date of Closing, the Seller shall pay, when due and payable, all real property taxes and assessments asserted against the Real Property for the current year and for all prior years. All such taxes and assessments for the current year will be apportioned between the parties on a pro rata basis as of the date of Closing.

2. *Purchase Price.*

2.1. The purchase price to be paid by the Buyer to the Seller for the Real Property and all of the Seller's interests in said Real Property, as described in Section 1 of this Agreement, is Two Hundred Ninety-Three Thousand Dollars (\$293,000.00) (the "Purchase Price"), subject to prorations and adjustments as provided herein.

2.2. The Purchase Price shall be paid in full to the Seller or, with written authorization, to the Seller's designee, at the time of Closing, subject to pro-rations and adjustments as provided herein.

2.3. Prior to the date of Closing, the Seller shall secure the release and discharge of all mortgages, liens, assessments, leases, rental agreements, advertising sign leases, if any, and other claims which encumber the Real Property. The Buyer shall have the right to cancel this Agreement in the event the Seller is unable or otherwise fails, neglects or refuses to convey good and marketable title to the Buyer in accordance with the terms and conditions of this Agreement.

3. Title.

3.1. During the first thirty (30) days of the Inspection Period, the Buyer shall obtain a Title Commitment for the Real Property (the "Title Commitment") at the Buyer's sole cost and expense. In the event the Title Commitment shows that the Seller is not vested with good, marketable and insurable fee simple title to the Real Property, or that the Real Property is subject to liens, encumbrances, taxes or assessments which will not be discharged prior to the Closing, the Buyer shall have the right, in its sole and absolute discretion, to declare this Agreement null and void pursuant to Section 3.2 of this Agreement. Alternatively, the Buyer may accept the Real Property, subject to such matters (collectively, the "Permitted Exceptions") as provided in Section 3.3 of this Agreement. The condition of title as described in this Section 3.1 shall be the standard of marketable title that the Seller shall deliver at the Closing. If the Seller delivers such title, and except for any Permitted Exceptions, such title will be satisfactory and acceptable to the Buyer under Sections 3.4 and 7.2 herein.

3.2. Prior to the Closing, the Buyer shall obtain a survey (the "Survey") of the Real Property, which Survey shall be prepared at the Buyer's sole cost and expense.

3.3. Within five (5) business days following the Seller's execution of this Agreement, the Seller shall deliver the following to the Buyer:

(a) True, complete and legible copies of all documents that are known to the Seller, that are not referred to in the Title Commitment or have not been recorded in the office of the Laramie County Clerk and ex-officio register of deeds, and that may affect the marketability of the title to the Real Property;

(b) Any soils, geological, and engineering studies;

(c) Copies of any entitlements or permits relating to the development of the Real Property;

(d) True and complete copies or originals of any lease or occupancy agreements for any portion of the Real Property;

(e) Copies of environmental studies in the possession of the Seller pertaining to the Real Property;

(f) Any notices of violations of law received by the Seller during the period of time that the Seller has owned the Real Property;

(g) All mortgages, notes and loan documents for any instrument which encumbers the Real Property on the date hereof, which mortgages, notes, and loan documents shall be discharged by the Seller prior to the Closing; and

(h) Copies of all materials relating to pending or threatened litigation involving the Real Property.

3.4. The Buyer shall have fifteen (15) business days from the date of receipt of the Title Commitment referred to in Section 3.1 or fifteen (15) business days following receipt of documents to be provided by the Seller pursuant to Section 3.3, whichever period is longer, in which to examine the same. If the Buyer finds title to the Real Property to be other than as described in Section 3.1, hereof, the Buyer shall, no later than the expiration of said period of fifteen (15) business days, notify the Seller in writing specifying the defect or defects; provided that, if the Buyer fails to give the Seller written notice of such defects before the expiration of said period of fifteen (15) business days, the defects shown in the Title Commitment or in documents provided by the Seller pursuant to Section 3.3 shall be deemed to be Permitted Exceptions and waived as title objections. The Buyer may raise as additional objections, however, any defect first shown by any title update between the date of the Title Commitment and the date of Closing by giving the Seller written notice of any such defect within five (5) business days after the Buyer first has notice of same. If the Buyer has given the Seller timely written notice of defects that render the title other than as required by Section 3.1 of this Agreement ("Defects"), and only in the event that the Defects were the result of the Seller's action or caused by the Seller's failure to act, the Seller shall use its best efforts to cause such Defects to be cured within ten (10) business days following receipt of such notice. In the event the Seller fails to eliminate such Defects, the Buyer shall have the right to terminate this Agreement pursuant to Section 5.1.

3.5. In the event the Seller creates any liens or encumbrances on the Real Property which are capable of being satisfied by the payment of money at the Closing, the Seller shall be obligated to use the Purchase Price to cure the Defects.

3.6. The date for elimination of the Defects may be extended until the Closing. In the event that the Seller does not eliminate any Defect prior to or at the Closing, the Buyer shall have the option of either: (i) closing and accepting the title "as is," without reduction in the Purchase Price and without claim against the Seller therefor, or (ii) cancelling this Agreement. In the event of a Defect that was not caused by the Seller's action or caused by the Seller's failure to act, the Seller's only responsibility shall be to assign the Seller's Title Insurance Policy or the Seller's rights under the Seller's Title Insurance Policy, whichever is applicable, and cooperate with the Buyer in obtaining the assistance of the Seller's title insurer to remove the Defect.

3.7. The Seller shall not create any new exceptions to title, and shall use its best efforts to prevent any other person or entity from creating new exceptions to title to the Real Property prior to the Closing.

4. *Inspection Period.*

4.1. The Buyer shall have sixty (60) calendar days following the date of the execution of this Agreement by Seller (the "Inspection Period") to make such physical, zoning, marketing and other feasibility investigations, tests and studies, including, but not limited to, soil tests and borings, Phase I environmental surveys, utility availability surveys, and confirmation of subdivision map requirements and restrictions as the Buyer may deem appropriate ("the Buyer's Inspections"). The Buyer's Inspections shall be performed at the Buyer's sole cost and expense. The Buyer shall repair any damage to the Real Property caused by the Buyer's Inspections,

reasonable wear and tear excepted. The Buyer shall indemnify the Seller and hold the Seller harmless from any loss, cost or expense arising during or as a result of the Buyer's Inspections.

4.2. The Buyer, at its option, may conduct, at its sole cost, such independent investigation and inspection of the Real Property as the Buyer shall deem reasonably necessary to ascertain the "environmental" condition of the Real Property ("the Buyer's Environmental Investigation"). The Buyer assumes no responsibility or liability as a result of any inaccuracies arising in or from the Buyer's Environmental Investigation, and makes no representations or warranties whatsoever regarding (i) the completeness of the Buyer's Environmental Investigation, or (ii) the truth or accuracy of the Buyer's Environmental Investigation. If the Seller conducts any environmental testing of the Real Property subsequent to the date of this Agreement, the Seller shall provide the Buyer with a copy of any report promptly after its receipt of same. The Buyer shall have no obligation to remedy any environmental problem on the Real Property.

5. *Termination.*

5.1. In the event the Buyer, in the Buyer's sole and absolute discretion, determines that any matter shown in the Buyer's Inspections or Environmental Investigation is not satisfactory, either during or subsequent to the Inspection Period, the Buyer shall have the right, at any time prior to the Closing, to terminate this Agreement by giving the Seller written notice thereof (the "Termination Notice"), in which event, both parties shall be released from all further obligations under this Agreement.

6. *Conditions Precedent.*

6.1. The Buyer's obligation to close this transaction shall be subject to the fulfillment of the following conditions precedent:

(a) The Seller shall, at the Seller's sole cost and expense, obtain releases, at or prior to the Closing, for any and all liens or encumbrances affecting the Real Property caused by the Seller's action or caused by the Seller's failure to act as of the date of the Closing, pursuant to the terms of this Agreement; and

(b) The Seller shall not be in default in its obligations under this Agreement; and

(c) The Buyer, at the Buyer's sole cost, obtains a title insurance commitment and Title Insurance Policy, in a form acceptable to the Buyer (the "Title Policy"), insuring the Buyer's title to the Real Property in accordance with the terms of this Agreement; and

(d) The Buyer must acquire marketable title to an adjoining parcel of real property on, or before, the date of Closing.

6.2. In the event any of the foregoing conditions precedent are not fulfilled as of the Closing (or any earlier date if specified otherwise), then the Buyer shall have the option of either: (i) waiving the condition and closing "as is" without reduction in the Purchase Price or claim

against the Seller therefor, provided that the Seller assigns to the Buyer all of the Seller's right, title and interest to the title insurance policy it obtained when it acquired the Real Property, or (ii) cancelling this Agreement by written notice to the Seller.

7. *Seller's Representations and Warranties.*

7.1. The Seller hereby represents and warrants to the Buyer that the following are true statements as of the date of this Agreement and shall be true as of the date of Closing, and the Seller agrees to deliver a certificate confirming that the following representations and warranties are true as of the date of Closing.

(a) The Seller is a municipality organized under the laws of the State of Wyoming, existing and in good standing under the laws of the State of Wyoming, and is authorized to conduct business in the State of Wyoming, and the Seller has full power and authority to sell and convey the Real Property and to execute this Agreement and such other documents described herein to be executed by the Seller.

(b) The Seller now has and will have at the Closing, good, marketable and indefeasible title in fee simple to the Real Property subject to any Permitted Exceptions and no party, except as herein set forth, has or shall have any right in, or to acquire, the Real Property.

(c) At the Closing, the Real Property shall be free and clear of all encumbrances except any Permitted Exceptions as set forth in Article 3 of this Agreement.

(d) At the Closing, the Real Property shall be free from any and all actions, suits, claims, assessments or proceedings pending or, to the knowledge of the Seller, threatened that could materially adversely affect the ownership, operation, or maintenance of the Real Property or the Seller's ability to perform hereunder.

(e) To the best of the Seller's knowledge, the Real Property and the Seller are not currently in violation of or subject to: (i) any existing, pending or threatened investigation or inquiry by any governmental authority; or (ii) any remedial obligations under any applicable laws pertaining to health or the environment (hereinafter sometimes collectively called "Applicable Environmental Laws"), including, without limitation, the Comprehensive Environmental Response, Compensation, and Liability Act of 1980, as amended ("CERCLA"), and the Resource Conservation and Recovery Act of 1976, as amended ("RCRA"). The Seller shall have no obligation to remove or take any action to cure or remediate any environmentally hazardous substance or material from the Real Property if any environmentally hazardous substance or material is found on the Real Property.

(f) The Seller does not have knowledge of any hazardous substances or solid wastes that are located on, or have been disposed of or otherwise released on, the Real Property. The terms "hazardous substance" and "release" shall have the meanings specified in CERCLA, and the terms "solid waste" and "disposal" or "disposed" shall have the meanings specified in RCRA; provided, to the extent that the laws of the State of Wyoming establish a meaning for "hazardous

substance," "release," "solid waste," or "disposal" that is broader than that specified in either CERCLA or RCRA, such broader meaning shall apply.

(g) There are no parties in possession of any portion of the Real Property, whether as lessees, tenants at sufferance, trespassers or otherwise.

7.2. The Seller shall not intentionally cause any of the representations and warranties contained herein to become materially incorrect, nor authorize any action which would do so. If, subsequent to the execution of this Agreement and on or before the Closing, the Seller nonetheless has knowledge that any of the representations and warranties set forth herein have become incorrect in any respect (a "Discrepancy"), the Seller shall promptly notify the Buyer, in writing, of the occurrence of such event. The Buyer shall have a right to approve or disapprove any such Discrepancy, which approval or disapproval shall be given by written notice delivered to the Seller prior to the Closing. If the Buyer waives any Discrepancy, and elects to acquire the Real Property, the Seller's representations and warranties contained herein shall be deemed to have been made as of the Closing, subject to the waived Discrepancy. If the Buyer disapproves of the Discrepancy, and the Seller fails to cure the same, then upon written notice thereof by the Buyer to the Seller, this Agreement shall be terminated, and all rights and obligations of the parties hereunder shall terminate.

7.3. Except for the representations of the Seller set forth in Section 7.1, that shall survive for one (1) year after the date of Closing, the express representations and warranties made in this Agreement shall merge into any instrument or conveyance delivered at the Closing and shall not survive the Closing.

8. *Risk of Loss.*

8.1. The Real Property shall be conveyed to the Buyer in substantially and materially the same condition as exists on the date this Agreement is executed by the Buyer, ordinary wear and tear excepted, free of all tenancies or occupancies.

9. *Default Provisions.*

9.1. In the event of the wrongful failure or refusal of the Buyer to close this transaction within sixty (60) calendar days after the receipt of written notice from the Seller, the Seller shall be entitled to those remedies as may be provided by law.

9.2. In the event of the Seller's failure to close in accordance with the provisions of this Agreement within sixty (60) calendar days after the receipt of written notice from the Buyer, the Buyer, at its option and as the Buyer's sole and exclusive remedy for the default of the Seller, shall have the right to either terminate this Agreement or seek specific performance of the Seller's obligations hereunder.

10. *Prorations.* Proratable items, if any, shall be prorated as of the date of Closing.

11. *Closing Costs and Expenses.* At the Closing, the Buyer shall pay the premium for the Title Insurance Policy to be issued to the Buyer. The Buyer shall pay all costs associated with inspections and environmental assessments conducted by the Buyer. The Buyer shall pay recording fees necessary to record instruments received by the Buyer at the Closing and one-half of miscellaneous closing costs and fees charged by the title insurance company selected by the parties to close this transaction. Each party shall pay that party's attorney's fees, if any. The Seller shall pay all recording costs with respect to documents necessary to clear title at the Closing and all instruments received by the Seller at the Closing.

12. *Closing.*

12.1. The closing of this transaction shall be held on the first business day occurring thirty (30) calendar days after the conclusion of the Inspection Period, or after the satisfaction of all conditions specified in this Agreement, whichever is last to occur (the "Closing Date"). The title insurance company selected by the parties shall prepare the closing documents.

12.2. At the Closing, the Seller shall deliver:

(a) A warranty deed duly executed and acknowledged in proper form for recording conveying to the Buyer good and indefeasible fee simple title in and to the Real Property, subject only to any Permitted Exceptions;

(b) An assignment of all rights appurtenant to the Real Property, if any, as provided in Section 1, above;

(c) A title affidavit and a mechanic's lien affidavit;

(d) An affidavit of exclusive possession;

(e) An affidavit pursuant to Internal Revenue Code Section 1445(b)(2) with respect to the Seller's status as a non-foreign person;

(f) A certificate, or other document acceptable to the Buyer, confirming the Seller's authority to sell and convey the Real Property; and

(g) Such other documents as are usually required to insure the Buyer's title.

12.3. At the Closing, the Buyer, at the Buyer's expense, shall receive an Owner's Title Insurance Policy ("Owner's Title Policy"), in a form acceptable to the Buyer, issued by a title insurance company authorized to do business in the State of Wyoming, in the full amount of the Purchase Price, insuring the Buyer's indefeasible fee simple title to the Real Property, subject only to any Permitted Exceptions and the customary exceptions contained in each standard form of Owner's Title Insurance Policies.

13. *Brokers.* The parties each represent and warrant to the other that no party to this transaction shall be responsible for the payment of any compensation or commission due any real estate agent, broker, salesman or finder unless that party has engaged the real estate agent, broker, salesman, or finder in writing. If a claim for compensation or commission in connection with this transaction is made by any agent, broker, salesman or finder claiming to have dealt through or on behalf of one of the parties hereto, such party shall indemnify, defend and hold the other party harmless hereunder from and against all liabilities, damages, claims, costs, fees and expenses whatsoever (including reasonable attorney's fees and court costs at all trial and appellate levels) with respect to said claim for compensation or commission. Anything to the contrary notwithstanding, the provisions of this paragraph shall survive the Closing and any cancellation or termination of this Agreement.

14. *Assignment.* The Buyer shall have the right to assign this Agreement without the consent of the Seller to a related individual or entity.

15. *Access.* The Buyer, and the Buyer's agents and contractors, shall have the right during the term of this Agreement to enter upon the Real Property at any time for the purposes of making investigations, tests and studies, provided that the Buyer shall indemnify, defend, and hold the Seller harmless from and against all liabilities, damages, claims, costs, fees and expenses whatsoever (including reasonable attorney's fees and court costs at all trial and appellate levels) for bodily injury, death, or physical damage to the Real Property caused by any such investigation, test, or study. The Buyer shall provide written notification to the Seller at least three (3) business days prior to entering upon the Real Property for the purposes of making investigations, tests or studies. The foregoing indemnification shall survive the Closing and any cancellation or termination of this Agreement.

16. *Notices.* Any notices required or permitted to be given under this Agreement shall be delivered by hand or mailed by certified or registered mail, return receipt requested, or overnight delivery service in a postage prepaid envelope, and addressed as follows:

If to the Seller: City of Cheyenne
 2101 O'Neil Avenue
 Cheyenne, WY 82001
 ATTN: City Attorney

If to the Buyer: John J. Koehler
 2011 8th Ave NE
 Aberdeen, SD 57401

17. *Operation of the Real Property.*

17.1. During the period between the date hereof and the Closing, the Seller shall:

(a) Keep the Real Property in substantially the same repair and condition as of the date hereof, but excluding damages to the Real Property caused by the Buyer's inspections or surveys; and

(b) Comply with all state and municipal laws, ordinances, regulations, and orders relating to the Real Property; and

(c) Comply with all the terms, conditions, and provisions of all liens, mortgages, agreements, insurance policies, and other contractual obligations relating to the Real Property, make all payments due thereunder, and suffer no default therein; and

(d) Without the written approval of the Buyer, neither negotiate nor enter into any new contract or modify any existing contract affecting the use or operation of the Real Property which cannot be terminated without charge, cost, penalty, or premium on or before the Closing; and

(e) Operate, manage, and maintain the Real Property in the usual and customary manner for similar property; and

(f) Promptly notify the Buyer in writing if any material change occurs in the occupancy of, or the conditions affecting, the Real Property.

18. *Miscellaneous.*

18.1. This Agreement shall be construed and governed in accordance with the laws of the State of Wyoming. Except for enforcement of the terms and conditions of this Agreement as between the parties, the Seller reserves all defenses and immunities under the Wyoming Governmental Claims Act, W.S. § 1-39-101, *et seq.*, and other applicable constitutional and statutory provisions of the State of Wyoming. All legal proceedings shall occur in a court of competent jurisdiction venued in Laramie County, Wyoming.

18.2. In the event any term or provision of this Agreement be determined by appropriate judicial authority to be illegal or otherwise invalid, such provision shall be given its nearest legal meaning, or be construed as deleted, as such authority determines, and the remainder of this Agreement shall be construed to be in full force and effect.

18.3. In construing this Agreement, the singular shall be held to include the plural, the plural shall be held to include the singular, the use of any gender shall be held to include every other and all genders, and captions and paragraph headings shall be disregarded.

18.4. Any exhibits attached to this Agreement are incorporated in and made a part of this Agreement.

18.5. This Agreement constitutes the entire understanding and agreement between the parties, and there are no understandings, agreements, representations or warranties except as specifically set forth herein.

18.6. This Agreement may not be changed, altered or modified except by an instrument in writing signed by the party against whom enforcement of such change would be sought.

18.7. This Agreement shall be binding upon the parties hereto and their respective successors and assigns.

18.8. The failure of any party to require the performance of any provision hereof at any time or times shall in no manner affect its right at a later time to enforce the same. No waiver by any party of any condition, or of any breach of any covenant, agreement, representation or warranty contained in this Agreement, in one or more instances, shall be deemed to be or construed as a further or continuing waiver of any such condition or breach or waiver of any other condition or of any breach of any other covenant, agreement, representation or warranty.

18.9. If the final date of any period provided for herein for the performance of an obligation or for the taking of any action falls on a Saturday, Sunday or legal holiday, then the time of that period shall be deemed extended to the next day which is not a Saturday, Sunday or legal holiday. All time periods expiring on a specific date or period herein shall be deemed to expire at 5:00 p.m. Mountain Standard or Mountain Daylight Time, as applicable.

18.10. This Agreement may be executed in any number of counterparts, each of which, when so executed and delivered, shall be deemed original, but such counterparts together shall constitute but one agreement.

18.11. During the term of this Agreement, the Seller shall not list the Real Property for sale, rent or exchange or otherwise offer the Real Property for sale, rent or exchange. The Buyer shall have the right to disclose this Agreement to any lending institution.

[SIGNATURE PAGES TO FOLLOW]

IN WITNESS WHEREOF, we have hereunto set our hands this _____ day of _____, 2019.

BUYER

By: _____
John J. Koehler

STATE OF SOUTH DAKOTA)
) ss.
COUNTY OF BROWN)

The foregoing instrument was acknowledged before me by John J. Koehler this _____ day of _____, 2019.

Witness my hand and official seal.

Notary Public

My commission expires: _____

SELLER

City of Cheyenne

By: _____
Marian J. Orr, Mayor

(SEAL)
Attest:

Kristina F. Jones, City Clerk

STATE OF WYOMING)
) ss.
COUNTY OF LARAMIE)

The foregoing instrument was acknowledged before me by Marian J. Orr, Mayor
of the City of Cheyenne, this _____ day of _____, 2019.

Witness my hand and official seal.

Notary Public

My commission expires: _____